The interest you earn from fixed deposits is fully taxable as per your tax slab. Thus, you have to show these returns as your income when you file your income tax returns. Most banks will also deduct 10% or 20% TDS (Tax deduction at source) on the interest that you earn from these fixed deposits.

Comparing it with a safer long-term investment option like PPF, this is a very big disadvantage of fixed deposits. If you are in the higher income bracket, and you get 30% of your FD returns wiped out in taxes, it no longer leaves FD as a very good investment option. Assuming you earn even a 9% return on a 1 year fixed deposit, then after tax deduction, the returns are likely to be less than 6%, (which is definitely less than the running inflation of around 7%). This essentially means you are still losing money even if it continues to be kept in a fixed deposit.

3. **Corporate fixed deposits are not always safe**

Some companies other than banking institutions also offer fixed deposits at higher interest rates, but they may not be entirely safe. This is because they are likely to invest your money in the projects that they have planned and get enough Return On Investment (ROI) from their projects to pay you the interest as well as earn profits.

There is definitely a higher chance of bankruptcy here, which may even result in loss of your principle amount. So you should be careful, when you invest in corporate fixed deposits.

4. **Governed by the Reserve/Federal bank guidelines**

The Reserve Bank of India is responsible for all monitory policies including the base lending rate[28]. The base lending rate is the rate at which banks borrow money from the Reserve Bank of India or other similar central banks in their respective countries. During a strong economic period, the RBI increases the base lending rate to calm down the economy a bit. A higher base lending rate would mean that the banks cannot loan out money at lower rates and that lowers the economy further (as there are less borrowers of money